Key Applications of Strategic Information Systems:

There is no clear-cut distinction between management information systems and strategic information systems. But when the information systems help organizations gain competitive advantage, it is said to be using the strategic information system.

Competitive Advantage in Selling:

- Strategic information systems assist organizations with innovating new models of the product or service. They help customers find,
- Product details online
- Enable them to make payments over the internet using debit cards, credit cards and electronic fund transfer.
- The sales team can remain connected to the central database and know the current status of the available products.

The organizations can forecast trends by analyzing the past and current trends using strategic information systems.

Reducing Costs:

- Organizations use strategic information systems to reduce costs and increase revenue.
- Retail stores use such systems to manage inventory.
- Strategic information systems also help organizations charge optimum price for the product.
- Airlines use a yield management system to determine pricing of tickets so that it generates the maximum possible revenue.

Product Differentiation and Customization:

Organizations create products according to the customer needs.

(Example of Nike discussed already)

Maintenance:

- Organizations use strategic information systems to provide after sale service.
- In case of car manufacturers, the information systems check the date on which a vehicle is due for a service, and automatically sends a message or mail to the customer.
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- The customer can provide their preferred time for the service online so that a visit can be scheduled.

Value Chain:

The set of activities that enhance the value of the product or service for the customer are said to be part of the value chain.

Information systems aid organizations to increase customer satisfaction, which automatically increases the credibility of the brand.

Inbound logistics:

This includes all the activities that manage the supply of raw materials and semi-finished materials.

Information systems help the organization have better coordination with suppliers.

Operational Activities:

Information systems allow customer integrated manufacturing processes.

Production is taken care of by using advance robotics, which are controlled by specialized information systems.

Outbound activities:

These are the activities that help the finished product or service reach the customer.

- ATM machines help banks disburse cash at any time.

- With the help of information systems, the customer accounts are kept updated whenever the customer withdraws or deposits cash through an ATM.
- The system also automatically sends text messages to customers in case of any debit or credit of cash.

Example:

1-800-Flowers, a multimillion-dollar company selling flowers over the web, used to be a much smaller company that had difficulty retaining its customers. It had poor service, inconsistent quality, and a cumbersome manual order-taking process. Telephone representatives had to write each order, obtain credit card approval, determine which participating florist was closest to the delivery location, select a floral arrangement, and forward the order to the florist. Each step in the manual process increased the chance of human error, and the whole process took at least half an hour. A new information system now downloads orders taken over the web to a central computer and electronically transmits them to local florists. Orders are more accurate and arrive at the florist within two minutes.